

The Complete Financial Guide for Young Couples

careful. As Solomon said, "He who loves money will not be satisfied with money, nor he who loves abundance with its income. This too is vanity" (Ecclesiastes 5:10).

QUESTION 15. How do we qualify for credit?

How do we ever qualify for credit if we don't ever borrow any money?

ANSWER: The first thing I would recommend is to do without credit as long as you can. The less credit you have, the less credit you are tempted to use. But that's a decision you have to make.

I would encourage you not to use credit for any consumer items such as entertainment, clothes, or appliances. Those things usually wear out long before the debts are paid.

The best, least-expensive way to establish credit is to save first and then borrow against your savings. For instance, suppose you have saved up \$500. You can use your savings as collateral for a \$500 loan. Usually, the bank will charge you 1 to 2 percent interest above your savings. If you make payments on the loan for a year or so and pay the loan back in a timely fashion, you'll have excellent credit. In fact, you'll be inundated with credit card applications. Then you'll have to exercise discipline to avoid the temptations credit brings with it.

Some couples, in spite of everything we've discussed, are going to end up in debt with credit cards. The reasons will seem both logical and necessary at the time. The result will be a great deal of grief and strain on their marriages. So let me give you the recipe for being debt-free again. Preheat your oven to 450 degrees, grease a cookie pan, and throw your credit cards in on top of it. That's the recipe for being debt-free (once you pay off your current charges, of course). If you're afraid you'll smut up your kitchen, cut them up instead.

If you're already in debt and you didn't get there in one year, you probably won't get out in one year. But you *can* get out. It's a matter of self-discipline and desire.